Inside Nvidiaâ€™s $500B AI Financing Loop

Podcast: prof G markets

AI Executive Summary

1. Core Thesis: The episode examines significant structural risks emerging in high-growth technology sectors following a period of hyper-inflationary growth, specifically highlighting how circular financing models in AI threaten long-term sustainability while space sector valuations correct after the dominance of SpaceX overshadows competitors' progress. Simultaneously, it warns against the sociological dangers of "founder worship" culture that incentivizes aggressive or fraudulent revenue practices among high-profile entrepreneurs despite their lineage's wealth and safety nets.

2. Key Arguments & Data:

3. **Nvidia AI Financing Model ($500 Billion):** Nvidia announced Memorandums of Understanding (MOUs) with six major Wall Street asset managers to secure $500 billion in capital for lending to customers building data centers; shares fell ~4% despite the announcement due to market concerns over "circular financing."
4. **Cyclical Debt Risk:** Analyst Jay Goldberg warns that Nvidia is effectively backstopping loans for customer compute usage. This creates a pro-cyclical debt structure where interest rates remain reasonable only while demand is high, but repayment obligations become crushing when hyperscalers exhaust balance sheets and AI saturation occurs simultaneously with declining core sales margins.
5. **Collateral & Depreciation Concerns:** Investors question accepting GPUs as collateral due to rapid depreciation; Jensen Huang's pitch that chips are an "investable asset class" may not satisfy lender comfort regarding repayment guarantees (potentially requiring Nvidia itself to absorb significant default risk).
6. **Space Sector Valuation Correction Post-SpaceX IPO:** Rocket Lab reported $234M revenue (+62% YoY) but losses exceeded analyst expectations ($158M+), partly tied to a failed Blue Origin orbital launch. AST SpaceMobile lost nearly 7x more than expected, losing >$300 million (doubled from prior levels). Both stocks fell sharply

following SpaceX's IPO, which deflated sector-wide valuations previously driven by hype.

7. **Competitive Reality in Aerospace:** Tim Farrah notes competitors are vertical integrating but facing delays: Neutron rocket launch pushed to 26/27; AST is scrambling for launches and moving toward third-party integration due to Blue Origin failures. SpaceX's strategic pivot from aerospace to AI (hyperscaler model) raises questions about the ultimate size of the satellite data center market relative to terrestrial infrastructure competition.

8. **Founder Culture & Fraud Risk:** Investigative findings on Phoebe Gates being investigated for "cookie stuffing" revenue fraud despite her father Bill Gates' status highlight the risk associated with the modern "cult of entrepreneurship," where founders prioritize sociocultural validation (influencer/career branding) over financial prudence.

9. Actionable Takeaways:

10. **Scrutinize Circular Financing:** Investors should treat Nvidia's $500B financing arrangement not as guaranteed growth, but as a high-interest debt instrument requiring rigorous due diligence on collateral adequacy and repayment guarantees to avoid amplifying systemic downturns during AI cycles.
11. **Reassess Space Sector Exposure:** Adjust portfolio risk for space companies post-SpaceX IPO by focusing on execution timelines over theoretical vertical integration strategies; be wary of valuations inflated purely by "disruption" narratives when competitors (Rocket Lab/AST) face delivery delays and launch service capacity constraints.
12. **Evaluate Founder Governance Independently:** Investors in early-stage or celebrity-backed startups should view background wealth/status as irrelevant to financial risk assessment, maintaining higher vigilance for fraudulent revenue practices regardless of the founder's social capital.

Full Transcript

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to talk about how she builds trust in 84 million customers when, amongst other things, her product is in many ways intangible. Turns out it requires real human connection of physical branches, enterprise-wide alignment, and the discipline to admit when you've broken it. Check out Creator Destroy Reimagining Marketing on YouTube and your favorite podcast app. Welcome to ProfG Markets. I'm Ed Elson. It is August 12th. Let's check in on yesterday's market vitals. The major indices declined again after another day without progress in Iran. Brent crude climbed. The yield on tenure

treasuries inched lower ahead of the next inflation report due this morning. And finally Apple shares fell more than 1% on news that its head of Apple pay is retiring. OK. What else is happening?

Nvidia is joining forces with Wall Street in one of the most ambitious financing efforts ever attempted. On Monday, Nvidia announced memorandums of understanding with six major asset managers to secure half a trillion dollars to fund the AI build out. The firms will lend that capital to NVIDIA's customers, helping them build more data centers and buy more chips. BlackRock CEO Larry Fink called the project the beginning of, quote, the next future for financial engineering. And NVIDIA CEO Jensen Huang said that AI chips have now become an investable asset class. However, NVIDIA shares fell nearly 4% on the news, which was first reported by the Financial Times. Joining us to discuss this half a trillion dollar financing arrangement. We are speaking with Jay Goldberg, analyst at Seaport Global Securities. Jay, thanks for joining us on the show. I've been looking at this 500 billion deal. I can't really tell what the deal actually is. There are a bunch of Wall Street banks and firms involved. It's a big number. But who's lending money to what?

What is the financing package actually looked like? What do we actually know about this? We don't know a lot. There's a lot of unknowns in here. They had a press release out yesterday, and the press release was almost entirely sort of, hey, geographic quotes from all the participants about how great they all were. And then Jensen posted on Twitter today, gave a little bit more, a little bit of granularity to a couple things, but we don't really know. And I think it's... worth pointing out that in the press release, it actually is very clear that the agreements are not finalized. So they don't know what the details are yet. Yeah. I mean, the term that jumped out to me was memorandum of understanding. I've heard that before in a deal with Iran that turned out to not be a deal and turned out to be a little bit of a disaster. Is that the right comparison here? I will say that NVIDIA had a similar MOU with open AI.

I don't know, six months ago, eight months ago, eons and AI time, and they were going to invest a lot of money into open AI. And that deal, again, was press release before the contract was finalized and it ended up not

happening. Or it radically shifted. It was a very different deal than the one that actually emerged six months afterwards. So NVIDIA is a company that cares a lot about its image. likes to keep people excited. And so they put out this press release. I'm curious, I don't know why they did it now. It's a little odd. I don't know the timing. It seems, I don't say premature, but like there's just a lot of unknowns. What do you make of the stock reaction? The fact that NVIDIA shows fell nearly 4%. I mean, if the idea was to inspire excitement and confidence, that's not what happened. What is the stock price telling us? What is Wall Street feeling?

Yeah, I think there is an undercurrent among some investors, not all, but certainly sizable chunk of investors who are worried about circular financing. And this certainly looks like it's a big piece of circular financing going on here because NVIDIA is providing money to customers to buy NVIDIA parts. I think that makes people uncomfortable. Not run for the hills. sell all our invidious stuff. But just like we're starting to see investors ask more questions about these kinds of deals and where this is all headed. Jensen Huang wrote in the blog post sort of announcing the deal. He addressed that question. He said, quote, is this circular financing? And then he continued on to say, this initiative is designed to address that concern. We are bringing independent long-term institutional capital into the AI infrastructure market that demand is real.

It comes from Frontier AI Labs, AI native startups, enterprises, cloud providers and countries building AI services. The investors make independent financing decisions. I'm not sure he answers the question. He certainly doesn't say the word no or the words it isn't circular financing. To what extent is this circular financing? What is circular about this if at all? So I think there's a fine line between. when companies provide financing for their customers, there's a fine line between enabling demand and creating demand. And NVIDIA has been walking that line ever closer for a couple years now. And I think it's perfectly reasonable to provide some form of working capital loan. You lend your, you know, you give them favorable terms, you let the customer pay six months, nine months. That's a form of financing. Or you loan them a little bit of money.

It's common practice in a lot of, you know, CapEx intensive industries. This one, I think catches everyone's eye because it's so big, right? Half a trillion dollars, like you said. And it's just not entirely clear. If you are coming from the point of view that AI is a bubble and nobody can articulate what the ROI on that investment is or what even the use case is or the business model you had a guest on earlier this week who was talking about that. If you come from that viewpoint, this looks very much like Nvidia's creating demand that might not exist otherwise. Now, Nvidia's take is no, no, we're not creating a demand. We see a, you know, a mispriced asset class, if you will. The lenders don't know how to lend to this. They're missing the point. They're missing the opportunity to understand it. We will step in and help bridge that gap. I get the logic, but we're...

It's such a big number and there's so many questions around it. It's hard to see this as something that's not in video, giving money to customers so they can buy from Nvidia, left hand paying the right hand. Is that the biggest risk for the company right now? Like, is that the main problem? And if so, is that why Jensen Huang is specifically calling it out in his blog post? I don't know why he's... doing addressing it in that way. I think he's very cognizant of what the street says about him and what the sort of what the zeitgeist on the street is. So I think he wanted to address that. But I do think there is a bigger concern here, which is as complicated as this is and you want to call it financial engineering or a whole new asset class, ultimately it's debt. And lenders Lenders don't care about fancy technology. They don't care about AI. They care about when they're going to get paid back. And ultimately who's responsible in the event of non-payment. And so looking through all this, we don't know. But my strong suspicion is that NVIDIA is backstopping, providing some form of guarantee, not for the whole 500 billion, but some portion of it. There's talk in his blog post about 25% coverage of certain things.

sort of paying for the depreciation risk, paying down whatever the exact mechanism. We don't know, but NVIDIA is providing some form of guarantee ultimately that is giving the lenders comfort enough that they can lend at a reasonable interest rate. Because imagine the counterfactual, if NVIDIA weren't involved in this, what would happen? These deals wouldn't get done because the interest rates would be too pressed too high. What that

also avoids down to is some of this is ultimately a debt, a form of debt for NVIDIA. And I think debt is very pro cyclical, right? When times are good, like they are now, everybody wants AI so much demand, this is going to amp that up considerably. The problem is when the cycle turns and the cycle always turns, this kind of thing will amplify the pain on the downside, right? Because imagine what happens some point in the future when the hyperscalers have run out of balance sheet and don't want to buy anymore AI or can't afford to buy anymore.

Nvidia GPUs, AI demand gets saturated. Just at that moment is when these obligations are going to come due. And all the Neoclouds who have borrowed money from this platform are going to suddenly see unused capacity. And they're going to put that back to Nvidia. But at the same time, Nvidia's own sort of core business, sales will be declining or margins will be declining. You know, earnings will trend downwards. And that's going to be, it makes it much more painful on the backside of this. That's the big fear. It is debt, right? That 500 billion. I assume it's debt. You say it seems like it's mostly debt. That's what it is, right? It's just 500 billion in debt. Yeah. We don't know that. We don't know. I'm hedging a little bit, but yeah, it's debt. Ultimately, it's a form of debt.

The one thing that I just want to get your reaction to as well. He mentioned this idea that chips are an investable asset class. That seems to be kind of the main thrust of this announcement. And he said that on CNBC, he had this round table with all of the Wall Street CEOs. I want to play this clip and see what you make of it. This is really the first time that technology chips have become an investable asset class. This is a very big concept. It's a big concept because the computers, these systems are not like our PCs or like our phones. These are revenue generating assets. Now they're productive, they're long lived, they're fungible, they're flexible. You can use it for all kinds of different things. Why is it so important to him to communicate that the chips are an investable asset class? And why is that such an essential component of this big announcement? So let me wind back the clock a couple of years. There's a history here.

for NVIDIA providing financing for customers. In the early days, in 2022 and 2023, NVIDIA provided essentially what I was talking about before

easy working capital terms to the first round of Neoclouds like CoreWeave. And it was so hot back then that CoreWeave could take delivery of systems, earn enough from running those systems for a few months that they could pay back NVIDIA very quickly. Over time, as the Neoclouds and NVIDIA's ambitions grew, that wasn't enough. The numbers got too big. And so NVIDIA started getting more actively involved. And the key thing they did at that point was they provided backstops. If you can't sell all the compute we're selling you, if you can't use it all, we'll buy some percentage of it. Now, today NVIDIA already has, as of last quarter, NVIDIA had 30 billion of what are they called, compute service agreements in place. It's not on the books. It's not on the balance sheet, but it's in the flip-dots.

What's been happening in the on the debt side as these neoclouds these do cloud service providers are coming up There are hundreds of them now and they've all gone to lenders and said hey you loan us loan us some money so we can buy some GPUs and the lenders Look at that and they they want collateral and they have always said That the GPUs are not sufficient collateral and so if you look at most of the really big neocloud financings that have taken place the debt is ultimately back not by the the GPUs, not the hardware, but by the customers, right? Microsoft signs a long-term agreement. They're going to buy this compute. That's the credit guarantee that the lenders want. And even that wasn't enough. And so NVIDIAs had to step in more and more to provide sort of a topper on that commitment. I think a lot of the borrowers in this market would really, really, really like to have GPUs themselves as collateral.

because we're at the point now where the hyperscalers who have been providing most of the commitment so far are getting much more aggressive in building their own capacity. They don't need to use third parties as much. They're less willing to sign these deals with third-party Neoclouds. They want to use their balance sheet for their own purposes, for buildings and data centers that they control. And so that sort of source of guarantee is not going away. It's not gone, but it's probably shrinking. And so what's going to provide the guarantee here? What's going to be the collateral? It sure would be nice if the lenders would accept GPUs as collateral. And I think that's the message he's trying to get across. I personally don't think that's going to land with investors. I think they're still going to want to see some

other forms of guarantees. And that's ultimately why NVIDIA is going to take on some form of obligation here.

This is the anchor of the 500 billion in debt that I'm about to go raise and you guys should all do the same thing because this is something that we can all do, right? That's right. Now, in fairness to them, I will say that one of the big concerns around this market has been depreciation of GPUs. Yes. This has been hotly debated. Michael Burry has talked about it. You guys have talked about it. Jensen makes a valid point in that older hardware doesn't depreciate quite as quickly. as the worst as the bears will say. And NVIDIA has actually done a really good job of updating and advancing the capabilities of its older platforms. So you can get more output, more tokens from a system now than you could a year ago from the same system through software and other tweaks. So there is some of that too. He's trying to get that message across to do it. And they've done a good job of that. I wanna give them credit for it. But ultimately it's trying to sell GPUs as collateral and it's not...

It's tough sell to investors. All right. Jay Goldberg is analyst at Seaport Global Securities. Jay, we really appreciate your time. Thank you. Thank you. After the break, an update on the space industry. And by the way, starting Monday, this show will be taking a summer vacation. Yes, we will be on break for the next two weeks. We will be back on August 31st with a fresh episode. Until then, enjoy your summer. Support for the show comes from Granola. You know the struggle of back-to-back meetings. You're nodding along, contributing, trying to stay present, where you still find your eyes drifting to the clock and willing it to go faster. Meetings can be a lot, but Granola makes them a whole lot better. Granola is the AI-powered notepad built for the way real people actually meet. Here's how it works. You take rough notes like you normally would and in the background. Granola securely transcribes the meeting. Then it turns everything into clean, structured, actually useful notes

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Two of the biggest space companies in America reported earnings Monday night and neither one gave investors much to like rocket lab brought in a record two hundred thirty four million dollars in revenue up sixty two percent from last year but it lost more money than analysts were expecting. AST Space Mobile came in short on revenue and its losses more than doubled to 231 million. A big chunk of that loss was 126 million right off from a satellite that Blue Origin had launched into the wrong orbit earlier this year. Both stocks fell on those reports. The real story for these two though goes back to June when SpaceX went public and investors sold off the rest of the sector, presumably to buy in.

Rocket Lab dropped 11% on the day of SpaceX's IPO and AST dropped 16%. Space stocks continue to slide through July with some of them cratering as much as 40%. Today, SpaceX trades below its IPO price, but that money still hasn't come back to the rest of the space sector. So what is next for the space industry? We are speaking with Tim Farrah, president of TMF Associates. Tim, Thanks for joining us on the show. We got some pretty important earnings reports from two of the other big space companies, ASD SpaceMobile and also Rocket Lab. It seems that investors are getting kind of shaky about this sector right now. What do you make of the earnings and what do you make of space post SpaceX IPO? Well, both Rocket Lab and ASD are trying to emulate SpaceX. They're trying to vertically integrate.

Rocket Lab started off building rockets. It moved into satellite systems. Now it's buying Iridium to add the application layer to that service. So that's the same as SpaceX, which started off with rockets, building satellites, but build up Starlink itself, AST. started in a different direction. They started

building satellites to launch their own constellation. They've just raised over a billion dollars a couple of months ago to try and move into the launch business because they're struggling to get launches from third parties. And as you said, they had the problems with Blue Origin which were amplified when the New Glenn rocket exploded on the pad just after their failed launch and now they're scrambling for launches. So all these companies are trying to put those three things together.

and build up their companies, but they're suffering from delays. So AST has got this problem trying to find launches to launch its satellites. It struggled to build as many satellites as it wanted to do as well. And then after that, it has obviously to stand up a service and try and compete head to head with Starlink. Rocket Lab, they're launching their small rocket, but they've got this new bigger neutron rocket coming along. And that's really, really delayed. Last year, they were saying it was going to launch in 25. Now they're saying we hope 26. A lot of analysts are thinking probably 27. And that's really critical to launch more and bigger satellites and take advantage of this consolidation with the Rydium. To what extent did the SpaceX IPO change the dynamics of this market? Because you had a handful of names. These were some of the hottest stocks last year.

the space stock specifically, then SpaceX comes along. Gigantic company, one of the most valuable companies in the world. Presumably that really shakes up the way this market works. How has it affected things in the space industry? Well, I think both Rocket Lab and AST had got very inflated valuations based on their current business. I mean, that's a lot the same at SpaceX. It also has a really high valuation for the size of the business it actually has. The fall in SpaceX has been mirrored by a fallback in these valuations as well, but I think the difference between the two companies is that Rocket Lab is buying an established business with Iridium. should be a fairly solid business. It generates a bunch of cash flow. In a way you could say maybe it's a bit like a AOL back in 2000 buying Time Warner and exchanging its shares from real assets. But it's a good thing to do if you have a high flying stock. And AST on the other hand has really been trying to do it all itself and now has sort of been stranded by the lack of launchers. Are all of them inflated?

In your view, are they all overvalued? I think that's right. I think certainly where those companies have gone up to based on the current revenues and the profitability, I think it's hard to know. how they will trade relative to SpaceX, because SpaceX is so dominant in this business now. It's got all this cash and its balance sheet. Yeah, it may spend most of that on AI and stuff like that, but it's competing really heavily against, particularly against AST. We've heard all this news about SpaceX getting into the mobile business, competing with the mobile carriers, building a whole new generation of installing mobile satellites, and that's exactly what AST is trying to do as well. Rocket Lab, I think, has a slightly better position. It's trying to avoid the head-to-head competition with SpaceX. It really is very much in the safety services, things like position, navigation and timing, things like aviation and maritime safety, not quite so threatened by SpaceX. But still, yeah, these things are going to trade. If people are negative about SpaceX, they're going to start to be negative about some of these other companies as well, at least on a valuation perspective. What do you make of the fact that SpaceX has has been plowing so much of its money and also just its time and its energy into the AI story. Because I look at space, and I'm like, this is a hot sector. This is what every investor has gotten so excited about. And then suddenly it seems like SpaceX pivots away from space. Space is now like a tenth of their business. And now it's all about.

it's all about being something between a Google hyperscaler and an anthropic or an open AI. What does that say about the space industry if we're no longer the largest space company in the world, isn't even a space company? Well, I think the question marks. Are there about what is the ultimate size of the starling business and the launch business as well so you know ai no one knows how big it is but we all assume it's going to be. Many billions if not trillions of dollars not least because all the other companies are investing in it as well space you know it's a it's a more limited market historically it's been pretty small now you must spend half the weekend on exit talking about how he was going to take over the internet and.

convey most internet traffic over Starlink in the future, and how it was going to serve lots of robots and every car in the world. That's all a bit crazy, but I think it speaks to the fact that he's got to talk up SpaceX and

Starlink as well, because he can't just lean everything on AI. What do you make of some of the bold cases that we're hearing as it relates to specifically orbital data centers, asteroid mining? I mean, one of the other big projects for SpaceX is civilizations on Mars and civilizations on the moon. It seems a little nuts. But are those real, are those businesses that are actually going to materialize in your view? Well, I think they're all far into the future. And I think what Musk threw out there on the earnings call last week was a statement that Starship's going to be launching every day next year, 12 months from now.

That's not going to be filled up with people going asteroid mining or colonizing the moon or any of these sorts of things. Not even going to be filled up with data centers because they have to go and get their tariff factory built to make the chips that go on those satellites. They're going to have to get this launch site. They're buying some more land in Louisiana that they're going to have to build a new launch site for all these orbital data center satellites. Those are going to take years. So next year, if Musk is right, and they're going to be launching Starship and, you know, every week or every day even, that's going to have to be filled up with Starlink satellites. And that's why he's so keen to highlight that there's this huge market for Starlink. What is the most realistic bull case in your view for the space industry? What is the prize that might actually come to fruition?

In the space industry over the next few years for the real question is how competitive space becomes with terrestrial you know today starlink has made a lot of progress it's got to you know ten billion dollars of revenue over ten billion last year but that's just really taking business away from. existing satellite companies, it's competing for people who didn't really have much option. Now they're starting to take on the terrestrial telcos, and that's why we hear all this noise about what T-Mobile and AT&T and Verizon think of all this. Data centers are the same sort of thing. They've got to compete with terrestrial data centers as well. So people say, well, let's put all these data centers in space because we're not going to have all these environmentalists. Well, maybe, but maybe they'll might.

object to launch sites as well. But that's the real question, is how economic are things going to be in space relative to on the ground? And to be honest, I

think people forecast space is going to be much better than on the ground now. It's hard to believe that space is going to improve so quickly. But stuff on the ground isn't going to get solved as well. Nuclear power stations on the ground might solve the power problem. There's a lot of land in places like Texas that aren't necessarily going to be so environmentally sensitive as other states around the country. I'm bullish about what might happen on the ground. And so I think that inevitably means that what we do in space is going to tend to be limited to a small percentage of the overall market. All right.

Tim Farrah, president of TMF Associates. Tim, appreciate your time. Thank you. Thank you. Startup founder Phoebe Gates, the daughter of Bill Gates, is being investigated for defrauding her clients with fake revenue numbers. According to Bloomberg, the Stanford grad engaged in something known in the affiliate marketing industry as cookie stuffing, a common form of fraud where you take credit for sales that you didn't actually drive. And according to Bloomberg, she knew what she was doing. She did it anyway. Now, I could understand why a more desperate founder who needed the money might engage in this kind of thing. But it's unclear why you would ever try to defraud your way into financial success if your dad was Bill Gates. So the only explanation that makes any sense to me, at least, is more of a sociological phenomenon that we have discussed before. And that is this idea of the cult of entrepreneurship. And that is Today, unlike any time in history, everyone wants to be a founder because unlike in years previous, when being a founder basically just meant being a business person, today it means being a lot of other things too. It means being an influencer, a celebrity, a trendsetter, maybe even a podcast host. These are the kinds of sociocultural benefits that are now associated with being a founder and As evidenced by Phoebe Gates, it's now gotten to a point where it's not even about the money. It's about everything else. This is what happens when a society is trained to believe that its ultimate heroes are the founders of tech companies. Everyone wants to be the next Steve Jobs, the next Jensen Huang, the next Bill Gates. The upside is it does mean more business formation, but the downside is this.

From Sam Bankman Freed to Elizabeth Holmes and now Phoebe Gates, too many young people have gotten drunk on the Kool-Aid that is founder

worship. And as with any addictive substance, the ramifications can be devastating. Okay, that's it for today. This episode was produced by Claire Miller and Alison Weiss and engineered by Benjamin Spencer. Our video editor is Brad Williams. Our research team is Dan Chalon, Kristen O'Donoghue and Mia Silverio. And our social producer is Jake McPherson. Thank you for listening to Prodigy Markets from Prodigy Media. If you like what you heard, give us a follow. I'm Ed Elson. I'll see you tomorrow.